

Superb Flowers Ltd. case

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Yesterday, you finished your first month working at Superb Flowers Ltd., a firm that sells flowers online. As you learned, part of Superb Flowers Ltd.'s success is its distribution network design. This firm uses drop shipping. More specifically, Bob Sinclair, the head of the SCM division told you, that customers place orders online for those flowers they like. Super Flowers Ltd. bundles these orders on a daily base and calls for proposals from a list over 100 potential suppliers. These suppliers submit bids online, as in an auction, and the firm offering the flowers at the lowest price wins the auction and gets selected for this day. Next, this firm directly ships the products to your end customer. Bob is pretty proud and claims to have zero inventory and that no single firm in this business manages working capital any better. On top, auctioning flowers leads to attractive and efficient bids, resulting in a 10% profit margin.

However, in today's board meeting, Charlette Henderson, your CFO, got really upset after a longer discussion: "If we fail to collect money from our customers earlier, we are running out of cash. It's stupid, despite zero inventory, our working capital requirements are our main constraint." This was pretty confusing to you. As you then learned from your neighbor in this meeting, your firm apparently faces tough competition. To attract more customers, it recently started to offer "buy today, pay in 60 days without any interest". This strategy has led to a substantial increase in demand. But, likewise, in accounts receivables. Since you have to pay your suppliers within 30 days, you have now a significant financing gap. Your firm enjoys an A-credit rating (which Charlette is pretty proud of), so obtaining loans from your banks is not an issue. However, it turns out that attracting new investors to grow the business further and faster seems to be limited given the growing working capital gap.

Briefly after today's meeting, Charlette approaches you: "Hey, aren't you the new one who just started and has this excellent management degree?" "Ahh..., yes, ... I suppose..." is all that you manage to reply. "Great, then your task is this: get the working capital down by at least 10% within the next 6 months. If you manage to cut it in half, you can have my job." She laughs and leaves to another meeting.

Back in your office you start thinking about what you have learned. How can you pay your suppliers later? Will they agree? Nancy, your office roommate who has been with Superb Flowers Ltd. since more than a decade tells you that there have been some attempts in the past to negotiate for longer payment terms, but they failed since most suppliers appear to face difficulties in raising money themselves (many of them are in the agriculture business and don't even have official credit ratings). She further informs you, that your firm tends to be open to innovative solutions. However, only in part. Top management likes new ideas, but those who execute new tasks are often opposed to change, asking why they should do even more in addition to their tasks.

Nancy further mentions that some people have been questioning the auction model recently. Why have a one-dimensional auction? Why not buy from suppliers with the longest payment terms instead, improve working capital, attract new investors and all problems are solved?

Bob and some of his employees approach you and share that they believe 60 days payment terms for your customers is too much. Why not offer a small discount for immediate payments? He believes that offering 5% discount should make them pay immediately without sacrificing any revenue.

After all this information, you decide to leave office early today to take a few more moments to think clearly. Reduce working capital by 10% in 6 months, how am I supposed to do that?

On your way home it becomes clear to you, how you have to structure your response to this task.

- (1) Consider the situation. What are the possible options to reduce working capital?
- (2) Describe the benefits and risks of each option and take a supply chain perspective.
- (3) Based on the data provided in this case and reasonable assumptions, try to assess those options. Can some of the be ruled out?
- (4) Select one option and provide a rough estimation of the expected impact. Prepare a short, informal presentation (i.e., some calculations/figures) that you can use to convince the board about your suggestion. Discuss the benefits, but do not forget the possible risks and your approach to mitigate those risks.

Back in the office the next day, you figure that some information is missing and so you approach Nancy, who is happy to talk (as always... classical Nancy): "As you must know, our suppliers prefer quick payment. They are in the agricultural business and have expanses long before earning revenues. Each day earlier payment matters to them. They tend to have higher weighted cost of capital than us, something about 20% seems common, sometimes more than 35% opportunity costs are not unheard of. And... we really have to pay after 30 days latest, I mean, how should they agree to more without including this in their quoted price? We, of course, have a small credit spread of as little of 2%, that is, we can get a loan at 2% plus risk free rate... this makes those negotiations inherently difficult... and, to be honest, stupid. They need money, we need money. We get it cheaper. Full stop." Drinking a fresh coffee and digesting this information outside in the sun (aren't you supposed to be working ever?), Charlette passes by: "Hey there, how is the reduction of my \$2,500,000 working capital without sacrificing any of our 10% profit margin going?"